

FEDERAL MARITIME COMMISSION

FACT FINDING INVESTIGATION NO. 23-
OCEAN COMMON CARRIER PRACTICES IN
THE TRANSPACIFIC TRADES

AMENDED ORDER OF INVESTIGATION

On September 21, 1998, pursuant to the Shipping Act of 1984, 46 U.S.C. app. 1701 *et seq.* ("Act"), the Federal Maritime Commission ("Commission") commenced this nonadjudicatory fact finding proceeding to investigate allegations that ocean common carriers in the eastbound Transpacific trades were engaging in activities that may be in violation of certain provisions of the Act. Commissioner Delmond J.H. Won was appointed as Investigative Officer and was authorized to hold hearings and to utilize compulsory processes, including subpoenas, to obtain relevant testimony and documents. Commissioner Won conducted an expedited investigation and submitted a confidential Report and Recommendations ("Report") to the Commission on January 5, 1999.

A summary of Commissioner Won's Report was released to the public on March 12, 1999. Generally, as indicated by the summary, evidence cited in the Report corroborates allegations that carriers in the eastbound Transpacific trades, faced with shortages of space during the peak 1998 holiday shipping season, refused to carry low rated cargo at applicable rates, targeted the cargo of

Interested persons are invited and encouraged to contact the Investigative Officer named herein, at (202) 523-5783 (Phone) or (202) 523-5785 (Fax), should they wish to provide testimony or evidence, or to contribute in any other manner to the development of a complete factual record in this proceeding.

THEREFORE, IT IS ORDERED, That pursuant to sections 8, 10, 11, 12 and 15 of the Shipping Act of 1984, 46 U.S.C. app. 1707, 1709, 1710, 1711 and 1714, and Part 502, Subpart R of Title 46 of the Code of Federal Regulations, 46 CFR 502.281, *et seq.*, this nonadjudicatory investigation into practices of ocean common carriers in the Transpacific trades is continued in order to develop the issues set forth above and to provide a basis for any subsequent regulatory, adjudicatory or injunctive action by the Commission.

IT IS FURTHER ORDERED, That the Investigative Officer shall be Vern W. Hill, Esq., Director, Bureau of Enforcement, of the Commission. The Investigative Officer shall be assisted by staff members as may be assigned by the Commission's Managing Director and shall have full authority to hold public or non-public sessions, to resort to all compulsory process authorized by law (including the issuance of subpoenas *ad testificandum* and *duces tecum*), to administer oaths, to require reports, and to perform such other duties as may be necessary in accordance with the laws of the United States and the regulations of the Commission;

IT IS FURTHER ORDERED, That the Investigative Officer shall issue a report of findings and recommendations no later than 180 days after publication of this Order in the Federal Register, and interim reports if it appears that more immediate Commission action is necessary, such reports to remain confidential unless and until the Commission provides otherwise;

APPENDIX A

Ocean Common Carriers

APL Co. PTE, Ltd. ("APL")
American President Lines, Ltd. ("APL")
A.P. Moller-Maersk Line ("Maersk")
COSCO Container Lines, Ltd. ("COSCO")
Evergreen Marine Corp. (Taiwan) Ltd. ("Evergreen")
Hanjin Shipping Co., Ltd. ("Hanjin")
Hapag-Lloyd Container Linie GmbH ("Hapag-Lloyd")
Hyundai Merchant Marine Co., Ltd. ("Hyundai")
Kawasaki Kisen Kaisha, Ltd. ("K-Line")
Mitsui O.S.K. Lines, Ltd. ("MOL")
Nippon Yusen Kaisha ("NYK")
Orient Overseas Container Line, Inc. ("OOCL")
P&O Nedlloyd B.V. ("P&O Nedlloyd")
P&O Nedlloyd Ltd. ("P&O Nedlloyd")
Sea-Land Service, Inc. ("Sea-Land")
Yangming Marine Line ("Yangming")